

ORDER INTAKE RECOGNITION & MEASUREMENT

Policy & Control Standard

POLICY ID	POL-ORD-001	VERSION	1.0
STATUS	SUPERSEDED	EFFECTIVE	January 2023
SUPERSEDED	January 2025	CONTROL ID	CTRL-REV-014
PROCESS AREA	Order-to-Cash (O2C)	OWNER	Group Finance – Revenue Assurance

DOCUMENT STATUS

This policy is superseded effective January 2025. It is retained for historical reference and control traceability.

Controlled Document

For internal finance, revenue assurance, audit and control-reference purposes.

1. Purpose

This policy establishes the principles, criteria, and controls governing the recognition and measurement of Order Intake across the Company.

2. Scope

This policy applies to all business units, regions, and legal entities that generate, process, or record customer orders under the Order-to-Cash (O2C) cycle, including:

- Hardware and Software arrangements
- Standalone Services arrangements
- Bundled multi-element arrangements

3. Definitions

3.1 Order

A binding agreement between the Company and a customer under which the Company commits to deliver goods and/or services in exchange for consideration.

3.2 Order Backlog

The cumulative value of Orders recognized as Order Intake but not yet delivered, fulfilled, or recognized as revenue.

4. Roles and Responsibilities

Role	Responsibility
Sales Operations	Order capture and documentation collection
Finance Business Partners	Recognition criteria review
Finance Manager	Credit risk sign-off (see 5.3)
Group Finance (Revenue Assurance)	Policy ownership and testing

5. Order Intake Recognition and Measurement

5.1 Recognition Criteria for Order Intake

An order shall be recognized as Order Intake when:

- a) A legally binding contract or Purchase Order (PO) exists, AND
- b) The order value can be reliably measured.

Orders not meeting both (a) and (b) shall remain in the sales pipeline and shall not be recorded as Order Intake.

5.2 Customer Commitment

Customer commitment is evidenced by receipt of a signed Purchase Order alone. A countersigned contract is preferred but not mandatory, provided the PO specifies:

- Price

- Quantity
- Delivery terms

5.3 Collectability Assessment

5.3.1 Assessment Basis

Collectability is assessed based solely on the customer's credit rating at time of order receipt, as classified below:

Credit Rating	Risk Classification	Action Required
A	Low Risk	None
B	Medium Risk	Standard booking
Below B	High Risk	Finance Manager review

5.3.2 Escalation Requirements

Orders from customers rated below "B" require Finance Manager sign-off prior to booking. No additional escalation is required regardless of order value.

5.4 Timing for Booking of Order Intake

Order Intake shall be booked immediately upon receipt of a valid Purchase Order, regardless of contract signature status. This approach prioritizes:

- Timeliness of reporting, over
- Administrative completeness of documentation

CONTROL PRINCIPLE

A valid Purchase Order is the primary trigger for Order Intake booking, subject to the recognition criteria and collectability requirements defined above.

6. Order Intake Approvals

Refer to POL-ORD-003 (Order Intake Approval & Backlog Management Policy) for the applicable delegation of authority matrix.

7. Exceptions and Escalation

Deviations from this policy require Finance Manager approval, with escalation to Group Finance for exceptions exceeding \$100,000 in order value.

8. Related Policies

- POL-ORD-002: Order Intake Value & SSP Allocation Policy
- POL-ORD-003: Order Intake Approval & Backlog Management Policy

9. Revision History

Version	Date	Summary of Change
1.0	Jan 2023	Initial policy issuance

END OF CONTROLLED DOCUMENT

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